

ORIGINAL

(S E R V E D)
(September 13, 1999)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

September 13, 1999

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM, ET AL.

v.

SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.

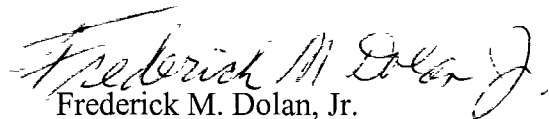
AGREEMENT APPROVED RESOLVING ALL ISSUES RAISED BY
COMPLAINANTS' APRIL 19, 1999 MOTION TO COMPEL

On March 15, 1999, complainants submitted their "First Data Requests and Requests for Admission" to respondents Sea-Land Service, Inc. ("Sea-Land") and American President Lines, Ltd. ("APL"), to which respondents filed objections. On April 19, 1999, complainants filed a Motion to Compel. Respondents filed replies in opposition, to which complainants responded. Informal conferences were held on June 14 and July 27, 1999, during which the foregoing pleadings and discovery issues were discussed in detail and at length.

The parties have now tendered a draft agreement (attached to this ruling) which resolves those discovery issues and upon approval of the agreement “will be deemed a grant of complainants’ 4/19/99 motion to compel to the extent (but only to the extent) of respondents’ obligations under this agreement.” Agreement, page 4.

The counsel¹ for all the parties are to be commended for their skill in producing the detailed agreement to govern the next phase of this proceeding.

In the circumstances the agreement² attached to this ruling is approved.


Frederick M. Dolan, Jr.
Administrative Law Judge

¹Roger A. Berliner, Peter G. Hirst, and Megan Grant for complainants, C. Jonathan Benner and Leonard L. Fleisig for respondent Sea-Land; and Robert T. Basseches, David B. Cook, and Eric C. Jeffrey for respondent APL.

²For the benefit of the casual reader of the agreement which is self-explanatory, two abbreviations may be unfamiliar. One is “CCMS” (which appears on page 2, para 2.c.1.), and means APL’s “Cargo and Container Management System” The other is “ARIQ” (which may be found on page 3, para 2 d.1.), and refers to an earlier “accounts receivable system” of Sea-Land. See letters dated July 12, 1999, to me from Sea-Land and APL

September 9, 1999

By Hand

Hon. Frederick M. Dolan, Jr.
Federal Maritime Commission
800 N. Capitol Street, N.W., Room 1089
Washington, D.C. 20573

Re: Docket 89-26

Dear Judge Dolan:

Complainants and respondents have reached the enclosed agreement, subject to your approval, resolving discovery issues that were discussed at the informal conferences held on June 14 and July 27, 1999.

- The agreement provides that it will become effective if and when approved by you (p. 1).
- The agreement resolves all issues raised by complainants' April 19, 1999 motion to compel by specifying steps that complainants and respondents will take, with due dates provided where appropriate (pp. 1-4). If you approve the agreement, the parties do not believe it would be necessary for you to take further action on complainants' motion to compel (see ¶ 3 on p. 4), except to the extent you might consider it appropriate to memorialize approval of the agreement in an order.
- The agreement also states the parties' agreement that respondents' discovery from complainants should be deferred until the period between complainants' submission of their evidentiary case and respondents' dispositive motions, and provides for modification of the March 1, 1999 scheduling order accordingly (pp. 4-5).

Complainants and respondents jointly request that you approve the enclosed agreement which represents our best attempt to implement the guidance you provided at the above-referenced

Hon. Frederick M. Dolan, Jr.
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informal conferences. If you should have any questions, we would be pleased to meet or have a conference call with you at your convenience.

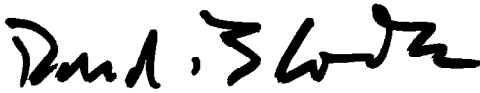
Respectfully submitted,



Roger A. Berliner, Esq.
Peter G. Hirst, Esq.
Megan Grant, Esq.
Brady & Berliner
1225 19th Street, N.W., Suite 800
Washington, D.C. 20036
(202) 955-6067



C. Jonathan Benner, Esq.
Leonard L. Fleisig, Esq.
Eckert, Seamans, Cherin & Mellott, LLC
1250 24th Street, N.W., 7th Floor
Washington, D.C. 20037
(202) 659-6600



Robert T. Basseches, Esq.
David B. Cook, Esq.
Eric C. Jeffrey, Esq.
Shea & Gardner
1800 Massachusetts Avenue, N.W.
Washington, D.C. 20036
(202) 828-2000

FMC Docket 89-26
Agreement Resolving Disputes Relating to Discovery

This agreement is entered into between complainants and respondents following the informal conferences of June 14 and July 27, 1999, and in light of guidance provided by the Administrative Law Judge at those conferences. This agreement is subject to the approval of the Administrative Law Judge and will become effective only if (and on the date) it is approved by him.

Complainants' Discovery from Respondents

1. Complainants will do the following:

a. Complainants will provide each respondent with a list that identifies, by bill of lading (BOL) number and approximate date, all shipments for which complainants claim reparations from that respondent in the current reparations phase of the proceeding. Complainants will also identify those BOLs on the list for which complainants represent that they do not possess a copy of the BOL.

b. Complainants will take appropriate steps to confirm whether they previously produced to the relevant respondent in discovery copies of all canceled checks available to them that identify who made payment of a respondent's tariff charges to the respondent for any shipment included in the lists referred to in ¶ 1a above. Following such steps:

i. Complainants will either (i) provide written confirmation that they previously produced to respondents in discovery copies of all such canceled checks available to them or (ii) produce to the relevant respondent a copy of any such canceled check available to them of which a copy was not previously produced to the respondent in discovery,^{1/} together with a copy of any associated document available to them (for example, a check stub) that matches the check to a particular BOL(s).

^{1/} In the case of shipments via APL, it is understood that this means any check a copy of which was not provided under cover of APL counsel's January 13, 1999 letter to complainants' counsel.

ii. Complainants will provide each respondent with a complete list of each shipment via that respondent included in the lists referred to in ¶ 1a above as to which complainants claim that a canceled check produced previously in discovery or pursuant to ¶ 1bi above establishes who paid the respondent's tariff charges for the shipment. Such lists shall include (i) BOL number; (ii) check number and date, as well as the bates number(s), if available, identifying the document(s) that constitute a copy of such check; and (iii) identification (*e.g.*, by bates number or provision of a copy) of any associated document (for example, a check stub) that matches the check to a particular BOL(s).

2. Respondents will do the following:

a. For each shipment for which complainants identify that they do not possess a copy of the BOL pursuant to paragraph ¶ 1a above, the relevant respondent will provide complainants a copy of the BOL or another document setting forth data that would be shown on the BOL and that are responsive to subitems (a), (d-j) and (l-o) of complainants' Data Request no. 1, to the extent such BOL or other document is available. (Due date: For APL, same date as specified in ¶ 2ci below. For Sea-Land, same date as specified in ¶ 2di below.)

b. For each shipment in the lists referred to in ¶ 1bii above, the relevant respondent will state in writing whether it admits that its tariff charges for that shipment were paid to it by the payor (and on the date) shown on the canceled check identified in the list.^{2'} (Due date: 21 days after complainants provide all documents referred to in ¶ 1bi above and the complete list referred to in ¶ 1bii above, whichever is later.)

c. Except for shipments as to which an admission is made pursuant to ¶ 2b above, for each shipment identified on the APL-related list referred to in ¶ 1a above:

i. APL will provide complainants with a copy of the CCMS fiche cards (see paragraph (v) on page 5 of APL counsel's 7/12/99 letter to the ALJ) applicable to the shipment, to the extent such fiche cards can be found. (Due date: 35 days after APL's responses to ¶ 2b above.)

ii. In addition, APL will communicate with its various United States local offices to attempt to ascertain whether any of them have retained any cashiers' files (*i.e.*, the files which would have contained payment documentation such as any check stubs or paid-stamped invoices) applicable to any part of the period 1988-1990. Within 7 days after APL's responses to ¶ 2b above, APL will advise

^{2'} It is understood that such admissions are to be without prejudice to respondents' right to argue that any such shipment is otherwise ineligible for an award of reparations.

complainants in writing whether any such files (or boxes, etc. that may contain such files) have been located. If so,

- 1) APL will on the same date advise complainants of the extent to which APL elects to itself search such files and/or boxes, etc. for any documents relating to the shipments covered by ¶ 2c and/or the extent to which APL elects to make such files and/or boxes available in the condition in which they are found for inspection and/or copying by complainants.
- 2) APL and complainants will attempt to agree on a schedule and location(s), which are reasonable in light of the quantity and location(s) of any files and/or boxes, etc. that may be located, for producing documents by APL and/or making materials available for inspection and copying by complainants. If such an agreement cannot be reached, APL and complainants will jointly request a conference with the Administrative Law Judge to resolve the matter.

d. Except for shipments as to which an admission is made pursuant to ¶ 2b above, for each shipment identified on the Sea-Land-related list referred to in ¶ 1a above:

i. Sea-Land will provide complainants with a copy of the ARIQ report applicable to the shipment, to the extent such reports can be generated. The ARIQ report will contain, in pertinent part, the following line items. (Due date: 35 days after Sea-Land's responses to ¶ 2b above.)

- 1) Bill of lading number;
- 2) Invoice date;
- 3) Invoice location (issued);
- 4) Transaction date;
- 5) Customer/Account number;
- 6) Customer Name;
- 7) Paying account number;
- 8) Transaction amount;
- 9) Balance; and
- 10) Local transaction amount.

ii. Sea-Land will also make available, for inspection and copying at Complainants' cost and expense, copies of Sea-Land's voyage files previously produced to counsel for complainants for the relevant time period. For purposes of clarification, these files constitute documents that were made available to

Complainants in the initial proceeding and which Complainants designated for copying. (Due date: 14 days after Sea-Land's responses to ¶ 2b above.)

3. This agreement is intended to settle and resolve all issues raised by complainants' 4/19/99 motion to compel. If the Administrative Law Judge signs and approves this agreement, such approval will be deemed a grant of complainants' 4/19/99 motion to compel to the extent (but only to the extent) of respondents' obligations under this agreement. Complainants retain the right to file an appropriate motion if they believe that a respondent has not complied with its obligations under this agreement.

4. This agreement is without prejudice, *inter alia*, to any party's positions concerning the eligibility of any shipment for reparations or the probative value of any document or other evidence for purposes of proving any matter at issue in this proceeding.

Respondents' Discovery from Complainants

1. Complainants and respondents agree that the most appropriate time for respondents to take discovery from complainants is during the period between complainants' submission of their entire evidentiary case on reparations and respondents' dispositive motions directed to that case (see 3/1/99 scheduling order, page 4). Accordingly, complainants and respondents agree that the 3/1/99 schedule in this docket should be modified as follows: (i) 21 days after complainants' submission of their entire evidentiary case on reparations, respondents may file discovery requests addressed to complainants. (ii) Respondents' dispositive motions will be due 45 days after complainants' responses to such discovery requests (except to the extent that objections thereto may be sustained³) are complete.

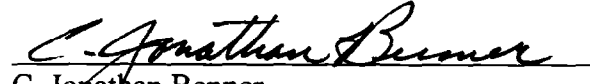
³ It is understood that complainants retain the right to object to particular discovery requests under the normal rules governing discovery (however, complainants will not object on the ground that it is impermissible for respondents to conduct discovery at that time). If complainants object to particular requests, respondents have the right to ask the Administrative Law Judge to issue an order compelling responses.

2. Respondents withdraw their currently outstanding discovery requests to complainants, without prejudice to re-submission of any or all such requests as part of the discovery contemplated by the foregoing paragraph.

Respectfully submitted,



Roger A. Berliner
Peter G. Hirst
Megan Grant
Brady & Berliner
1225 19th Street, N.W., Suite 800
Washington, D.C. 20036
(202) 955-6067



C. Jonathan Benner
Leonard L. Fleisig
Eckert, Seamans, Cherin & Mellott, LLC
1250 24th Street, N.W., 7th Floor
Washington, D.C. 20037
(202) 659-6600



Robert T. Basseches
David B. Cook
Eric C. Jeffrey
Shea & Gardner
1800 Massachusetts Avenue, N.W.
Washington, D.C. 20036
(202) 828-2000

September 9, 1999

APPROVED AND SO ORDERED on September 13, 1999



Frederick M. Dolan, Jr.
Administrative Law Judge